

WHICH STARTUPS RAISE AGAIN?



Picking seed-stage startups
that go on to secure more
funding

Presenter: Meqdad Muhana

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HOW VENTURE CAPITAL MAKES MONEY



VC firms invest small "seed" cheques in very young startups



Firms profit only if a startup raises **AGAIN** and grows



A startup that raises seed and never raises again has "stalled"

THE FIRM'S PROBLEM



The firm keeps backing seed startups that stall



It has \$10M to invest and wants to stop guessing

"Which seed startups have historically gone on to raise again?"

THE DATA



**~49,000 companies
worldwide (Crunchbase)**

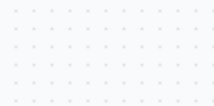


**Cleaned the data, focused on
the 13,839 that raised seed**



**"Success" = raised more
than one funding round**

Built in Python.



WHAT WE'LL COVER

01



The baseline
problem

02



Industry analysis

03



Geography &
Location

04



Timing & Strategy

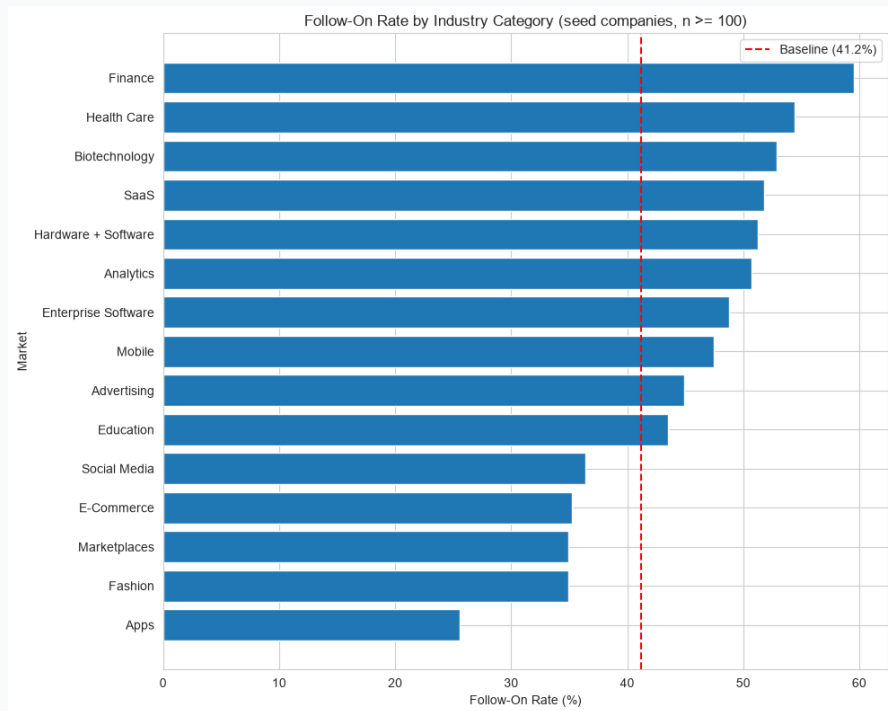
THE BASELINE

41%

Of startups raise again

Nearly 6 in 10 stall

INDUSTRY IS THE BIGGEST LEVER



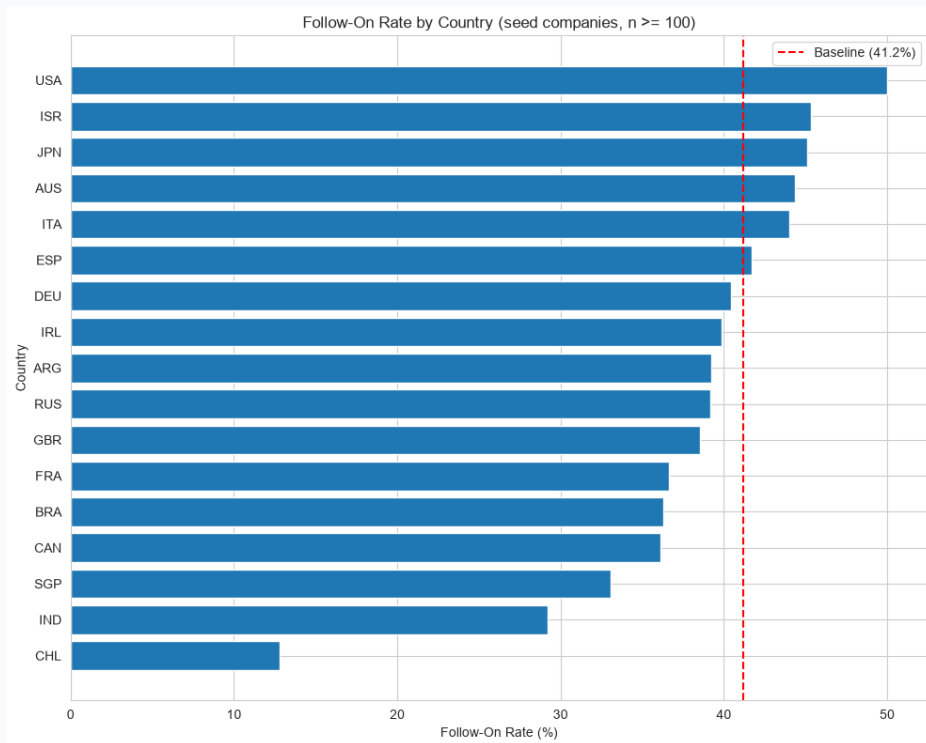
↑ Best Performers

Finance 60%, Health Care 54%, Biotech 53%

↓ Worst Performers

Apps 26%, Fashion & E-Commerce ~35%

LOCATION MATTERS TOO



📍 USA Leads

50% follow-on rate and represents over half the global data

📍 Strong Ecosystems

Japan also beat the average at 45%

📍 Lagging Regions

Chile (13%) and India (29%) lag far behind the baseline

HOW LONG TO WAIT BEFORE GIVING UP



~10 Months

The typical follow-on round comes in this timeframe.



24 Months

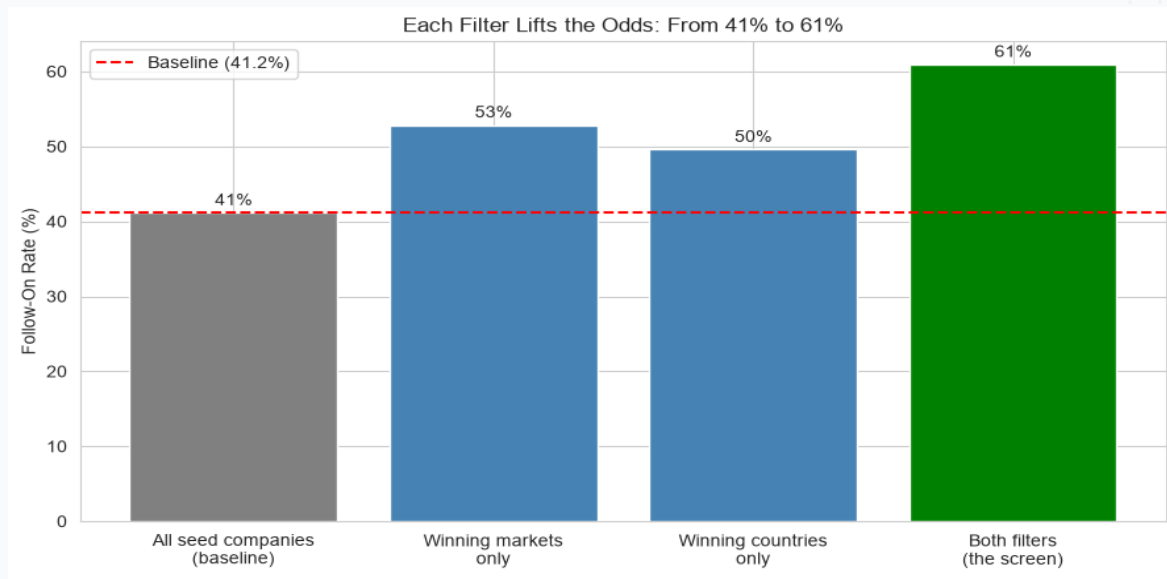
90% of winners raise again within 2 years.



The 2-Year Rule

Silent past 2 years → treat as stalled.

PUTTING THE FILTERS TOGETHER



Screening by winning industry + geography lifts the hit rate from 41% to 61%

WHAT TO DO WITH THE \$10M



Sector Focus

Favor Finance, Health Care, Biotech, and enterprise software



Geography

Weight toward the USA and other strong ecosystems like Japan



Timing Rule

Drop investments that don't raise again within 2 years



Projected Impact

~7 more advancing startups from the same \$10M (~48% better)

THANK YOU